Absorbing Transition DID Results: Clean Historical Restatement — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.043**		-0.035**		-0.018
		(0.021)		(0.016)		(0.017)
× Voluntary Rotation		-0.028***		-0.031***		-0.019***
		(0.006)		(0.005)		(0.006)
Pooled	-0.034***		-0.032***		-0.019***	
	(0.005)		(0.004)		(0.005)	
Mandatory − Voluntary		-0.015		-0.004		0.001
Difference p-value		0.512		0.819		0.963
Observations	40,374	37,548	40,374	37,548	40,374	37,548
Firms	5,120	5,072	5,120	5,072	5,120	5,072
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.030		-0.025*		-0.010
		(0.020)		(0.014)		(0.017)
× Voluntary Rotation		-0.036***		-0.040***		-0.018***
		(0.008)		(0.006)		(0.007)
Pooled	-0.033***		-0.036***		-0.015**	
	(0.007)		(0.006)		(0.006)	
Mandatory − Voluntary		0.005		0.014		0.007
Difference p-value		0.804		0.343		0.682
Observations	26,989	25,338	26,989	25,338	26,989	25,338
Firms	3,397	3,358	3,397	3,358	3,397	3,358
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		-0.048**		-0.046***		-0.015
		(0.020)		(0.017)		(0.015)
× Voluntary Rotation		-0.030***		-0.031***		-0.019***
		(0.006)		(0.005)		(0.005)
Pooled	-0.032***		-0.031***		-0.018***	
	(0.005)		(0.004)		(0.004)	
Mandatory − Voluntary		-0.018		-0.015		0.004
Difference p-value		0.384		0.401		0.798
Observations	39,799	36,974	39,799	36,974	39,799	36,974
Firms	5,244	5,198	5,244	5,198	5,244	5,198
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		-0.040**		-0.042**		-0.008
		(0.019)		(0.017)		(0.014)
× Voluntary Rotation		-0.027***		-0.028***		-0.019***
		(0.006)		(0.005)		(0.005)
Pooled	-0.030***		-0.029***		-0.017***	
	(0.005)		(0.004)		(0.004)	
Mandatory − Voluntary		-0.013		-0.014		0.011
Difference p-value		0.529		0.416		0.474
Observations	41,013	38,193	41,013	38,193	41,013	38,193
Firms	5,244	5,204	5,244	5,204	5,244	5,204
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.